Predictive Analysis of Stock Market Trends: A Machine Learning Approach

Ashish Ruke
Department of AI&DS,
VIIT, Kondhwa
Pune- 411048, Maharashtra, India.
ashish2002ruke@gmail.com

Sujeet Gaikwad
Department of AI&DS
VIIT, Kondhwa
Pune- 411048, Maharashtra, India.
sujeetsg1372@gmail.com

Gitanjali Yadav
Department of AI&DS
VIIT, Kondhwa
Pune- 411048, Maharashtra, India.
gitanjali.yadav@viit.ac.in

Amar Buchade
Department of AI&DS
VIIT, Kondhwa
Pune- 411048, Maharashtra, India.
amar.buchade@viit.ac.in

Shruti Nimbarkar
Department of AI&DS
VIIT, Kondhwa
Pune- 411048, Maharashtra, India.
nimbarkarshruti@gmail.com

Ashish Sonawane
Department of AI&DS
VIIT, Kondhwa
Pune- 411048, Maharashtra, India.
ashishis46@gmail.com

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***Abstract*— The stock market has been the case of this research in which LSTM neural networks have been investigated to enhance the accuracy of such predictions. With the evolution of financial markets, there is an increasing need to develop better and more reliable forecasting strategies; this research looks like it will help contribute to the literature on possibilities involving the use of LSTM networks for improving projections. These results are to demonstrate the potential of using LSTM networks in the process of stock market prediction as there is an increasing focus on machine learning for various financial applications. 0.89 was its R-squared score and 0.84 was cross-validation it performed well on the training and testing data. We chose the LSTM algorithm, saved this model as a Hierarchical Data Formats (HDF) donated h5 file, and then deployed it through Streamlit. The front end of the app accepts stock Ticker and provides predicted price from the trained model.**

Keywords: Stock Market Trends, Machine Learning Approach, LSTM, Mean Squared Error (MSE), Moving Average, Min-Max Scaler, Streamlit, Predictive Analysis.

I. Introduction

It is always difficult to analyze the financial markets that comprise many elements, volatile conditions and are exposed to the unexpected occurrences. It is impossible to make good investments in such an environment without anticipating the direction of the market movement and predicting changes in trends. While traditional methods which predicts the future o markets of the stocks rely on statistical analyses and historical data , the dynamism inherent in modern financial markets has necessitated a move towards advanced strategies that can adequately respond to the ever-changing situations. The study is on machine learning where LSTM is applied in stock market prediction. Their ability to model intricate short-term correlations is what makes LSTM networks enchanting, as this characteristic is similar to characteristics found in financial markets. In this line of thinking, LSTM offers an additional feature for developing predictive analytics concerning stock prices by building upon RNN.

This has prompted a desire to enhance the precision and dependability in stock market predictions. Traditional methods in this day's world when the market dynamics are driven by many factors as well as plenty of information, have very limited abilities in differentiating various intricate linkages that shape the movement in stock prices. **[1-3]** study uses past stock prices and other financial measures within appropriate LSTM networks. The last several years have seen extensive use of machine learning in financial modeling due to the complex linear characteristics of market developments. Many times, traditional financial models struggle to capture these complex relationships, dynamic features, and unexpected changes in the stock prices. This research finds itself at cross roads between innovation and finance dealing specifically with the capabilities of LSTM neuronal nets in tackling these problems.

This is because the world economy is constantly fed with knowledge and not only about the global macroeconomic situation, but also about various corporate events in certain companies. Therefore, the financial world looks quite intricate because it cannot be described in simple formulas. Advancements in big data as well as in computational power allows machine learning algorithms to be applied on large databases that should lead to improved forecasts about stock market movement. However, given the fact that this research paper focuses on forecasting stock prices using market trend data, the LSTM model is more suitable and appropriate for such exploration.

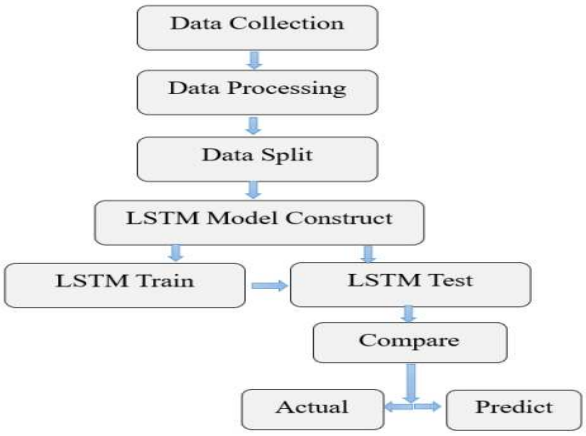

Fig.1.1 Flow chart of Stock Prediction Processing

How LSTMs Work in Stock Market Predictions:

- Sequence Learning: LSTMs learn patterns on time series such as daily prices of stocks. The memory of each individual LSTM unit consists of a cell state and a hidden state that stores vital-information.

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- Feature Extraction: Features can be extracted for each time step by LSTMs which enables recognition of important patterns as well as relations among them in the sequence. This competence is beneficial in detecting trends, seasonality, and other temporal connections with stock prices.
- Prediction: The LSTM model trained with past data subsequently starts to forecast the next stock price after training. The value of this approach stems from its capacity to grasp long-run correlations, which is crucial in forecasting in dynamic financial markets.

II. Literature Survey

This section will discuss shortly on different machine learning algorithms used for stock market forecasting. In **[4]** endeavor investigates a new model referred to as Stock Sequence Array Convolutional LSTM (SACLSTM) for improved stock price forecasting. The authors join the Convolutional Neural Network CNN and Long–Short–Term Memory Neural Network of investment wealth management if to consider their context within stock-turned favorite stocks investments. The SACLSTM builds a historical sequence array and leading indicators with CNN for feature extraction and LSTMs, predicting the utilization of several performance measures at each stage. The results of experiments conducted on ten securities in the U.S.A. and Taiwan show higher prediction accuracy than any previous methods. In **[5]** LSTM-XGBoost, Grid Search optimized hybrid emerges as the best in predicting daily prices for stock indices. This is very useful for financial analysts and investors. MLS LSTM model is introduced with adam optimizer in "Stock Price Prediction using The algorithm works well with normalized time series data and vanishing gradient problems, leading to accurate predictions of stock price. In **[6]** framework makes use of S3E , a self -supervised stock technical data sequence embedding model to encodes sequences into embeddings via auxiliaries tasks. Predictions are then based on LSTM and feed-forward neural network. Massive lab testing of the model on A-Shares and NASDAQ markets, in China show that it works. Practical efficacy is confirmed by real-world deployment in a large Chinese financial service provider, and that it would succeed where the conventional models of stock market trend prediction fail. In **[7]** LSTMs, SVMs and NLP models are three AI techniques used in the study to explore financial decision making through stock price prediction. It is the only one to use stock percentage change as training data, providing meaning to models on a price movement. The implementation of specialized BERT NLP models is used, focusing on multi-modal data. These strategies prove to be effective as results show the accurate calculations and proves that these data features can indeed determine overall stock trends. In **[8]** Concentrating on major international stock indices, the study contrasts various machine learning models such as LSTM, XGBoost and a hybrid form of both. Results of back testing using the skforecast library demonstrate that the hybrid LSTM-XGBoost model, tuned with Grid Search is superior. This research is very valuable for the financial analysts and investors because it does prior prediction of daily prices in international stock markets, so that they can make appropriate decisions.

III. Data Set

Yahoo Finance offers wide-ranging information on stocks, market indices, currencies, and commodities among others. The data available on Yahoo Finance can be broadly categorized into several key areas:

Stock Prices: Stock price history and current quotes. These data usually comprise of closing price and other attributes such as low-high column and opening price of stock volume.

Company Information: Information concerning the company, including its profile, major officers, industry, section, and some specialized data of company.

Market News and Analysis: The latest news as well as articles on financial markets covering companies and industries.

Portfolios and Watchlists: User friendly tools that allow monitoring of stock portfolios, user's watchlist and individual-stocks.

Economic Indicators and Market Performance: Market index information, economic indicators as well as stock prices.

Through **[9]** Yahoo Finance's website, one can easily access this information with various tools allowing users to analyze, download, and even export some of the data depending on use, research, or investments. Nonetheless, different amounts and types of information come up depending on the user's purposes and what Yahoo Finance provides or draws upon for its service.

Date	*Open*	*High*	*Low*	*Close*	*Volume*
11/27/2007	770	1050	770	962.9	27294366
11/28/2007	984	990	874	893.9	4581338
11/29/2007	909	914.75	841	884.2	5124121
11/30/2007	890	958	890	921.55	4609762
12/3/2007	939.75	995	922	969.3	2977470
12/4/2007	985	1056	976	1041.45	4849250
12/5/2007	1061	1099.5	1050	1082.45	2848209
12/6/2007	1089	1109.7	1051	1081.3	1749516
12/7/2007	1100	1134	1078	1102.4	2247904
12/10/2007	1110	1110	1061.1	1075.4	1012350
12/11/2007	1081	1089	1041	1047.65	810464
12/12/2007	1032	1065	1016	1036.8	744799
12/13/2007	1040	1150	1030.25	1129.95	3067687
12/14/2007	1139.9	1140	1101.1	1110.5	1070737
12/17/2007	1140	1168	1021.5	1044.25	1404955
12/18/2007	1045	1109.9	1031.55	1074.95	1226984
12/19/2007	1091	1116	1046.3	1066.9	845666

Table 3.1 Sample Dataset

IV. Proposed Methodology

There are various stages involved in developing a predictive analysis methodology based on machine learning for stock market trend. The approach establishes a framework for developing a machine learning-based prediction model for stock market forecasting. Nevertheless, it is vital to recognize that financial markets are full of

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uncertainty and none of these models guarantees future movements. Continuously monitor the performance of strategies and models in live or simulated markets. Adapt and refine the models/strategies based on new data and market dynamics for ongoing improvement.

This methodology is iterative and involves continuous learning and adjustment based on the dynamic nature of financial markets. It integrates data-driven analysis, model development, strategy implementation, and risk management, with a focus on continuous improvement and adaptation.

fig.4.1. System Flow

A. Matplotlib

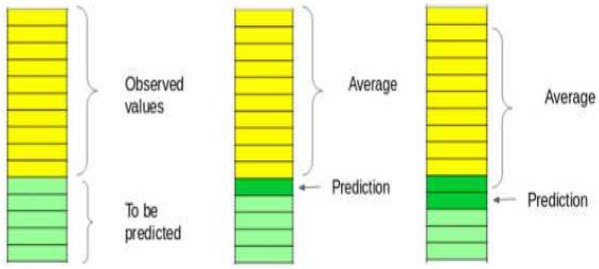
A lot of people prefer to use matplotlib library because it offers numerous opportunities for plotting of different kinds as well as other illustrations. Wide range of functions for creating the excellent graphs, charts, histograms etc. In essence, it is a way of seeing the data. With Matplotlib, you can create:

- Line Plots: These are basic shapes of linked data points called the straight line plots. These tools are usually employed in showing patterns of change as time progresses.
- Bar Charts: Bar charts involve using rectangular bars to compare categorical data. It is useful in visually comparing different groups.
- Histograms: These are plots that show how continuous data is distributed through binning or dividing it into different intervals. They facilitate the analysis of the distribution frequency of quantitative data.
- Scatter Plots: Scatter plots are perfect for depicting the connection between two variables and show data as discrete points in two dimensions.
- Pie Charts: These circular statistical graphs are cut out in pieces to show numeric proportions.

B. Moving Average

Moving average is a statistical measure that gives the average value obtained when dividing the entire given data into several small subgroups. It is a technique for removing jagged effects and revealing hidden patterns or trends in the data. Taking an averaging data point on a set number. The set averages are calculated by replacing the oldest data point with the newest when new data points arrive. It forms a moving mean which keeps changing with time.

For example, SMA could mean picking up the average stock prices in the last five day. The newly observed day's price becomes the oldest which is dropped, and the average



adjusted based on it. These rough edges are ironed out and help dampen the shocking effects of short run shocks, enabling a better observation of the long run trend

Fig.4.2. Moving Average **[10]**

C. Min-Max Scaler

Min-Max Scaler is a standard method of normalizing data that is often utilized in machine learning as well as the pre-processing stage. The main purpose of this is to convert feature values into another range, say for instance, between zero and one.

This scaler works through rescaling every feature to a certain range, which is most often [0, 1] although it can be changed to any other desired range. The formula used for Min-Max scaling is:

$$x_{scaled} = \frac{x - x_{min}}{x_{max} - x_{min}}$$

Where feature column represents :

- x represents an individual data.
- x_{scaled} is the transformed value after scaling.
- x_{min} is the least value (minimum).
- x_{max} is the largest value (maximum).

D. Long Short-Term Memory (LSTM)

In traditional RNNs, there is an issue known as the "vanishing gradient" problem that has made it impossible to apply them in processing long-sequence data; this has led to the creation of the LSTM, kind of RNN architecture. It is customized for analyzing and predicting chronological information or sequential data.

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The unique characteristic that sets such models such as LSTM apart from others is that they can retain and manage information propagation over extended sequence thereby making them ideal for understanding trends and dependencies for sequential data LSTMs achieve this through a network of memory cells which control the passage of information. These memory cells consist of a cell state a linear information flow and gate type which include:

- Forget Gate: It evaluates whether a specific piece of information from the cell's state can be removed or forgotten
- Input Gate: Chooses the new data that will change its status.
- Output Gate: Gives out information depending on the cell

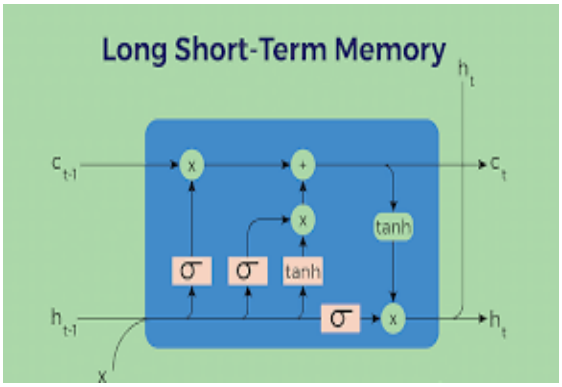


Fig.4.3. LSTM ***[11]***

LSTMs are able to remember or forget information for a considerable length of time because they change weight and bias settings on their gaits.

E. Mean Squared Error (MSE)

One of the popular metrics for measuring performance in this context is (MSE). In deviation squares mean of its square root for a dataset where prediction is contrasted to what was found out.

It's a fundamental is a measure of predictive model's performance particularly in regression problems. MSE is therefore calculated by taking deviation from actual to predicted and its square for each difference and then averaging across all data points. Mathematically, the formula for MSE is

$$MSE = \frac{1}{n}\sum_{i=1}^{n}(Y_i - \hat{Y}_i)^2$$

Here's what each element represents:

- N is the total number of data points.
- Y_i represents the actual observed values in the dataset.

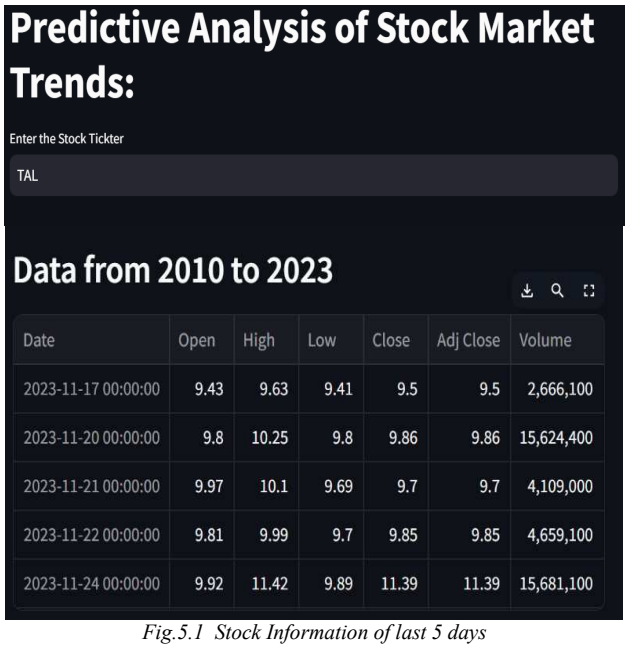
V. EXPERIMENTAL RESULTS

Source code of research is available at

https://github.com/ashishruke99/Stock-Market

A. Stock Information :

Fig 5.1 represents stock information of last five days in a table format whereas Fig 5.2 represents closing price of the stock since 2010 in a graphical format.



Date	Open	High	Low	Close	Adj Close	Volume
2023-11-17 00:00:00	9.43	9.63	9.41	9.5	9.5	2,666,100
2023-11-20 00:00:00	9.8	10.25	9.8	9.86	9.86	15,624,400
2023-11-21 00:00:00	9.97	10.1	9.69	9.7	9.7	4,109,000
2023-11-22 00:00:00	9.81	9.99	9.7	9.85	9.85	4,659,100
2023-11-24 00:00:00	9.92	11.42	9.89	11.39	11.39	15,681,100

Fig.5.1 Stock Information of last 5 days

Fig.5.2. Closing Price Since 2010

Fig.5.3 Closing Price VS Year

Fig 5.3 shows a line where it tells us closing price of each 365 days as a moving average from 2012-2024*

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B. Model Accuracy

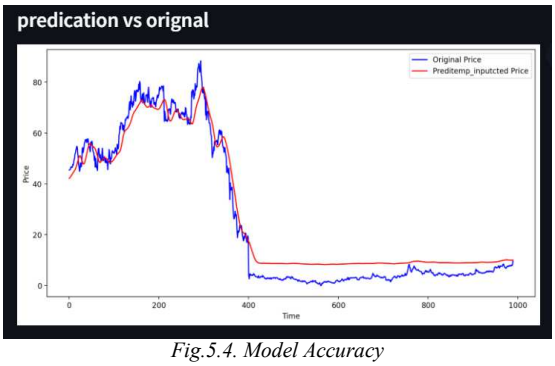
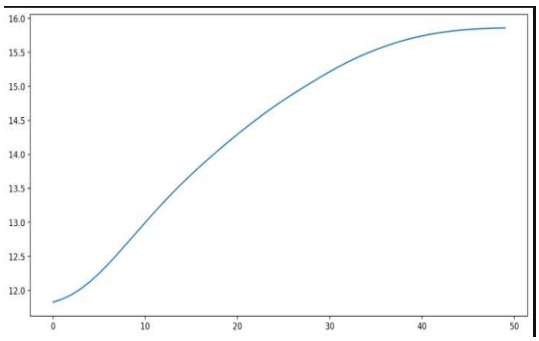


Fig.5.4. Model Accuracy

In Fig 11 blue line show us actual closing price of the stock whereas red line show predication of our LSTM model

C. Predication by model for next 50 days



	Low	High	Open	Close	DailyChange	PercentageChange
0	11.474447	12.096306	11.725044	11.827434	None	
1	11.516154	12.138952	11.760522	11.872189	0.044755	0.38%
2	11.572784	12.200959	11.811799	11.936278	0.064089	0.54%
3	11.647572	12.284568	11.882593	12.021732	0.085455	0.72%
4	11.741151	12.389077	11.973847	12.127642	0.105909	0.88%
5	11.851907	12.511886	12.083911	12.251302	0.123661	1.02%
6	11.976985	12.649236	12.209784	12.388919	0.137616	1.12%
7	12.112835	12.796877	12.347687	12.536264	0.147346	1.19%
8	12.255823	12.950734	12.493630	12.689364	0.153100	1.22%
9	12.402517	13.107198	12.643927	12.844695	0.155331	1.22%

Fig.5.5 Next 50 days Prediction with graph

D. Model Recommendation

Fig.5.6 Next 5-year Recommendation

Model Recommendation system recommends us where we should invest in the stock or not by checking returns of next 5 year.

E. Model Analysis

The most widely used method for analyzing stocks is to consider their P/E ratio, which determines what a company's stock price paid per dollar of earnings. EPS divided by the price of one share yields P/E. In principle, a low P/E ratio is favorable.

Name	Price (Intraday)	Change	% Change
OCI N.V.	29.00	+8.00	+38.10%
United States Steel Corporation	49.59	+10.26	+26.09%
Sigma Lithium Corporation	29.48	+2.83	+10.62%
Cleveland-Cliffs Inc.	20.50	+1.80	+9.63%
PGT Innovations, Inc.	39.48	+3.39	+9.39%
Marathon Digital Holdings, Inc.	19.88	+1.59	+8.69%
Carvana Co.	55.68	+4.28	+8.33%
Super Micro Computer, Inc.	322.19	+22.08	+7.36%
AssetMark Financial Holdings, Inc.	28.28	+1.82	+6.88%

Fig.5.7 Top Gainer Recommendation by Model

Name	Price (Intraday)	Change	% Change
Lantheus Holdings, Inc.	55.60	-20.44	-26.88%
Sanlam Limited	7.33	-0.68	-8.49%
V.F. Corporation	18.36	-1.55	-7.79%
Delivery Hero SE	30.75	-2.25	-6.82%
HUTCHMED (China) Limited	18.03	-1.29	-6.68%
eXp World Holdings, Inc.	14.17	-0.96	-6.35%
Nuvalent, Inc.	75.43	-4.85	-6.04%
Futu Holdings Limited	51.70	-3.25	-5.91%
MTN Group Limited	5.93	-0.36	-5.65%
NeoGenomics, Inc.	18.62	-1.04	-5.29%

Fig.5.8 Top Losser Recommendation by Model

VI. FUTURE WORK

Predicting stock market trends using machine learning remains a dynamic field, with multiple options for further research and development. Here are some potential areas for further research and development: Try ensemble approaches of multiple model-based predictions. More sophisticated ensemble techniques, include bagging and boosting, which have also provided more reliable and precise forecasts through capitalizing on their individual weaknesses. Improve the interpretability of machine learning model. It is important for model development to focus on increased explain ability because of their implications of this decision are very significant in the financial sector where the participants have to know why.

Trust in the models may also increase, thus leading to more informed decision-making. Conduct a rigorous robustness testing with adversarial attacks. Evaluate how the model operates in various market conditions, economic shocks, or the deliberate changes. It could also be used for identifying weaknesses and making the model more robust. Application of reinforcements to portfolio optimization. Build models that project stock movements as well as dynamically readjust investment portfolios in changing market circumstances.

Forecasting in finance as it concerns predictions on the direction of stock markets is always very difficult. Some difficulties are inherent in traditional ways as they do not capture the complexities of moving financial markets. Nevertheless, ML as a way forward in making even better stocks forecasts with high precision and accuracy. These are intelligent systems that can mine large historical datasets to identify patterns and adjust to varying market dynamics thereby offering useful information to investors.

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VII. CONCLUSION

There is no general recipe which will help one to predict the movement of a share on the exchange in a stock market. However, there is an optimal algorithm for each type of data depending on the specific characteristic of the chosen data. The stock market is not static but has numerous influences ranging from economic events, political issues and even general sentiments from the market. A prudent application of predictive analysis using a machine learning approach in the stock market can guide in decision making and yield helpful information.

The solution is not a magical bullet, but should incorporate subjectivity, sophisticated risk management techniques which are well integrated in a complex market setting. The synergies between artificial and human intelligence are expected to be pivotal in coping with the intricacies of the financial markets going forward as technological and methodological developments progress.

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